IN THE NATIONAL COMPANY LAW TRIBUNAL ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) No.5/ALD/2022,

Connected with

CA (CAA) No.24/ALD/2021

(Under Sections 60 to 62 of the Limited Liability Partnership Act, 2008)

And

In the matter of

Scheme of Amalgamation and Arrangement Between

THE SINGH ENGINEERING WORKS LLP,
Having its registered office at Block 38-C, 84/54,
Jareeb Chowki, Kanpur
Uttar Pradesh-208003

..... Petitioner 1/Transferor LLP

AND

UDBHAWA CONSTRUCTIONS LLP
Having its registered office at Block 38-C, 84/54,
Jareeb Chowki, Kanpur
Uttar Pradesh 208003

..... Petitioner 2/Transferee LLP

Date of Pronouncement: 06.07.2023

Coram:

Shri Praveen Gupta : Member (Judicial)
Shri Ashish Verma : Member (Technical)

Authorized Representative on Record

For the Petitioner(s) : Ms. Akshi Kataria, CS

For ROC, Kanpur : Sh. Krishna Dev Vyas, Advocate

For O.L. Alld/RD(NR) : Sh. Ajeet Kumar Singh, AOL

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ORDER

1. The present joint petition has been filed under section 60 and 62 of the Limited Liability Partnership Act, 2008 ("**Act**") for sanction of the Scheme of Amalgamation between **The Singh Engineering Works LLP**, being the Petitioner No.1 (hereinafter referred to as the **"Transferor LLP"**) named above and **Udbhawa Constructions LLP**, being the Petitioner No.2 (hereinafter referred to as the **"Transferee LLP"**) named above and their respective Designated Partners/Partners and creditors as a going concern., whereby and whereunder the Transferor LLP is proposed to be amalgamated with the Transferee LLP from the Appointed Date, **17th April, 2021** in the manner and on the terms and conditions stated in the said Scheme of Amalgamation ("**Scheme**").

2. The Transferor LLP was converted to LLP from a Private Limited Company on April 20, 2015 under the provisions of the Companies Act, 2013 and Limited Liability Act 2008, its registered office is situated at Block 38-C, 84/54 Jareeb Chowki Kanpur U.P - 208003.

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It carries on the business of iron and steel converters & makers, colliery proprietors, coke manufacturers, patentees, tin plant makers and similar products in their respective branches at Kanpur or elsewhere within or beyond India.

3. The Transferee LLP was converted to LLP from a Private Limited Company on April 10, 2015 under the provisions of the Companies Act, 2013 and Limited Liability Act 2008 ,its registered office is situated at Block 38-C, 84/54 Jareeb Chowki Kanpur U.P - 208003.

It carries on the business of dealer of flats, maisonettes, dwelling houses, shops, office and clubs, and for these purpose to purchase, take on lease or otherwise and hold any land or buildings of any tenure or description wherever suitable, to prepare the building sites, and to construct, reconstruct, pull down, alter, improve, decorate furnish and maintain flats, maisonettes, dwelling houses, shops, office and clubs, building, works and convenience of all kind to lay out roads, pleasure grounds and recreation grounds, to drain or otherwise improve the land or any part thereof.

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4.1 The petition has now come up for final hearing. The Ld. Authorized Representative for the Petitioner LLPs submit as follows:

a. By an order dated 6th December, 2021 in Company Application **CA (CAA) No.24/ALD/2021**, this Tribunal made the following directions with regard to meetings of partners and creditors of under Section 60(1) ofthe Limited Liability Partnership Act, 2008: -

a) **Meetings dispensed of Partners/ Designated Partners**: Meetings of the Designated Partners/Partners of the Applicant No.1 and of the Applicant No.2 are dispensed with under Section 60 read with section 62 of The Limited Liability Partnership Act, 2008.

b) **Meetings dispensed of Creditors**: Meetings of the Unsecured Creditors of the Applicant No.1 and 2 are dispensed with under Section 60 read with section 62 of The Limited Liability Partnership Act, 2008.

b. The Rationale of the Scheme of Amalgamation as

stated is as follows:

i. *Simplification of group structure by eliminating multiple LLP's thus enabling them to work on diversified areas of business through single group of management administration and unlocking of value.*

ii. *Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processed, productivity improvements, improved procurement, usage of common resource pool like human resource, administration, finance, accounts, legal, technology and other related functions, leading to elimination of duplication and rationalization of administrative expenses.*

iii. *Pursuant to merger, the partners expect healthier and larger balance sheet of the merged entity through joint efforts which in turn may improve the credit profile, thereby enhancing the competitive positioning.*

iv. *That in these circumstances, it is considered*

desirable and expedient to implement the proposed Scheme, whereby the entire business and undertaking comprising all the assets and liabilities of the Transferor LLP is to be transferred, vested and Transfered with the Transferee LLP with effect from the Appointed Date as a going concern, on the terms and conditions set forth in the Scheme.

4.2 In consideration of the above mentioned business rationale and related benefits, this Scheme of Arrangement between **The Singh Engineering Works LLP** and **Udbhawa Constructions LLP**, is propounded in accordance with the terms set out in the Scheme of Arrangement. The Designated Partners/partners of the Petitioner LLPs are of the opinion that the proposed Scheme is in the best interests of these LLPs, their partners, designated Partners and other Stakeholders.

5. Para 13 of the Scheme provides that the amalgamation shall be accounted for in the books of account of the Transferee LLP according to the 'pooling of interests' method under Accounting Standard (AS) 14, 'Accounting

for Amalgamations' issue by the Institute of Chartered Accountants of India and such other guidelines as may be prescribed by the Central Government in this regard from time to time.

6. The Petitioner LLPs are not governed by any sectoral regulator. Moreover, no investigation proceedings have been instituted and/or pending in relation to the Petitioner LLPs under section 43 of Limited Liability Partnership Act, 2008 or any other provisions of law.

7. That the petitioner LLPs are not carrying on any business at present hence no TDS reconciliation is required, further the Applicant LLPs are assessed under the IT Act, 1961.

8. Notice of the Company Petition along with the Composite Scheme of Arrangement and related documents was also given to the Statutory Authorities viz. (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur and (c) the Income-Tax Department having jurisdiction over the Petitioner Companies. The

Petitioner LLPs have filed Affidavit of Service of Company Petition on 13th May , 2022.

9. The Tribunal vide its order dated 11th April, 2022 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Hindustan Times" (English) and "Hindustan" (Hindi) newspapers having wide circulation in Kanpur District in the State of Uttar Pradesh in which the Registered offices of the Petitioner LLPs are situated. The Petitioner LLPs have filed Affidavit of Service of publication on 13th May , 2022.

10. In response to the above stated notice, the Registrar of Companies, Kanpur, submitted its representation to Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi on 30th September, 2022, which did not contain any adverse observation or remark on the proposed Scheme of Arrangement.

11. In response to the above stated notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi submitted its representation Affidavit on 20th

January, 2023, which did not contain any adverse observation or remark on the proposed Scheme of Arrangement. It is submitted by the Regional Director (Northern Region) that the approval of the present scheme of amalgamation may be granted by this Hon'ble Tribunal.

12. In response to the above stated notice, the Official Liquidator, Allahabad submitted its representation on 10th October 2022, which did not contain any adverse observation or remark on the proposed Scheme of Arrangement.

13. As per the Affidavit of Service filed by the Petitioner on 13th May, 2022, Notices of the Second Motion Company Petition were served upon the Income-Tax Department having jurisdiction over the Petitioner Companies on 9th March,2022 for filing their response to the Second Motion Company Petition. The Income-Tax Department vide Letter F. No. ITO-1(2)(3)/KNP/Amalgamation 2021-22/05 Dt. 04.04.2022 conveyed it's No Objection to the proposed Scheme of Arrangement.

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14. As per the proposed scheme with effect from the Appointed Date, the Transferor LLP shall stand amalgamated with the Transferee LLP. Accordingly, the Undertaking/Business of the transferor LLP shall, pursuant to the provisions contained in Section 62 and other applicable provisions of the Act and subject to the provisions of the Scheme in relation to the mode of transfer and vesting, stand transferred to and vest in or be deemed to be transferred to and vested in the Transferee LLP, as a going concern without any further act, deed, matter or thing so as to become on and from the Appointed Date, the Undertaking/Business of the Transferee LLP.

15. There is no additional requirement for any modification and the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 60 to 62 of the Limited Liability Partnership Act, 2008.

16. Taking into consideration the above and after hearing submissions made by the Ld. Authorized

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Representative appearing for the Petitioners, the representative of ROC, Kanpur, Ministry of Corporate Affairs; representative of Official Liquidator, Allahabad and representative of Regional Director, Northern Region, we allow the petition and make the following orders:-

(a) The petition filed by the Petitioner is allowed and the Scheme of Amalgamation is hereby sanctioned. The Scheme approved shall be binding on the Partners, Creditors and employees and other stakeholders of the LLPs involved in this Scheme w.e.f Appointed date of the Scheme i.e., 17.04.2021.

(b) That all the assets, liabilities, duties, properties, estates, rights, title, interests, contracts, agreements, proceedings, employees and related retirement funds, taxes and the entire business, undertaking and obligations of the Transferor LLP shall pursuant to section 60 of the Limited Liability Partnership Act, 2008 without further act or deed be transferred to and vest in or be deemed to have been transferred

and vested in the Transferee LLP as per the terms of the Scheme of Amalgamation.

(c) The Transferor LLP shall be dissolved without winding up pursuant to the provisions of Section 62 of the Act, without any further act or deed. On and from the effective date, the name of the Transferor LLP shall be struck off from the records of the concerned Registrar of Companies. The transferee LLP shall make necessary filings, if any, in this regard required as per the applicable laws.

(d) The Petitioner LLPs shall within thirty days of the date of the receipt of certified copy of this Order cause a copy of this order delivered to the Registrar of Companies, Uttar Pradesh, for registration.

(e) Upon filing of E-Form 22 to the Registrar of Companies by the Transferor LLP and the Transferee LLP within 30 days from the date of orders/directions sought vide this Petition, NCLT of Allahabad direct the Registrar of Companies to issue a certificate of Amalgamation of the petitioner LLPs and a certificate

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of dissolution of Transferor and further place all documents relating to the Transferor LLP with the documents relating to the Transferee LLP in one file, and the files relating to the said petitioner LLPs will be consolidated accordingly as well as the status of the Transferor LLP be changed from active to Amalgamated on the portal of the MCA web site, and/or

17. While approving the Scheme as above, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained as per law including compliances that may have to be made as per the provisions of Companies Act, 2013 as well as Income Tax Act, 1961.

18. The LLPs to the said Scheme or other person Interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the

working of the said Scheme.

19. Accordingly, the Scheme stands sanctioned and **CP (CAA) No. 5/ALD/2022** stands disposed of.

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Ashish Verma
Member (Technical)

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Praveen Gupta
Member (Judicial)

6th July, 2023